



SILVER SHORE

Off-Market M&A Deal Network

SilverShore Guide to Selling Your Business



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Most business owners go through this process once. Buyers do it dozens of times. That gap costs sellers real money, usually in the form of mistakes that could have been avoided with better preparation. The difference between a messy sale and a clean one often comes down to how ready you were before the first conversation started.

This guide walks through what you need to know to prepare, what buyers look for, and how to avoid the traps that waste value and time.

How to use this Guide to Selling Your Business

- **If you're just exploring, read sections 1 through 5** to understand timing and readiness.
- **If you're preparing to sell soon, focus on sections 6 through 11** to understand process and structure.
- **If you're in conversations now, sections 13 through 15** will help you navigate emotions and spot problems.
- **Section 16 explains how we can help make the process easier when you're ready to start conversations.**



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Glossary of Key Terms

1. Start with the outcome you want

Before you think about price, get clear on what you actually want your exit to look like.

- Do you want a full exit, or would you prefer partial liquidity now with upside later?



- Do you want to stay involved during a transition, or step away quickly?
- Do you care most about legacy and employee stability, speed, or maximum value?

These answers shape everything. If you want to stay involved, that is a completely different conversation than if you are ready to retire.

Your business is probably a large part of your identity. It is definitely your legacy. That makes preparation emotionally complicated because you are invested in how things are done. The best sellers find a way to step back enough to see their business through a buyer's eyes without losing sight of what they want to protect.

Getting clear on expectations upfront saves you from spending months in conversations that were never going to work.

2. Is now the right time to sell?

Once you know what outcome you want, the next question is timing. Selling at the wrong time can cost you money or create complications that could have been avoided.

Timing matters more than most owners realize.



Three dimensions matter most: you, your business, and the market.

Where you are personally

Your age, health, and energy level matter. If you're burned out, buyers will sense it and wonder why. If you're energized and still growing the business, that confidence shows up in how you talk about the future, and buyers respond to it.

The desire to do something else is also a factor. If you're ready for the next chapter and have thought through what that looks like, you'll approach the sale with clarity. If you're just tired but don't know what's next, you might regret selling too quickly.

Where your business is

Peak performance commands peak valuations. If your business is growing, profitable, and operating smoothly, that's the best time to sell.

Selling during a down year will cost you. Buyers underwrite based on recent performance. If you're off 20% from your best year, they'll discount heavily for that risk. The same goes for losing a major customer or facing operational challenges. Fix the problems first if you can, then sell from strength.

The ideal moment is often right after you've completed something meaningful: launched a new product, expanded into a new region, or hired a strong operator. You can show momentum and growth without the buyer worrying you're selling because you see trouble ahead.



Where the market is

Private equity firms have record amounts of capital to deploy. This is good for sellers.

More buyers with more capital means more competition for quality businesses.

Interest rates and economic conditions also matter because they affect how much buyers can borrow and how confident they feel about future growth. These factors cycle over time. You can't control them, but you should be aware of them.

The danger of waiting

Many owners say "I'll sell when I hit \$X in revenue" or "just one more year." Often, that year never comes. Markets change. Health changes. Businesses decline. Competitors emerge. Key employees leave.

If you're seriously considering a sale, start preparing now. The owners who get the best outcomes usually start organizing 12 to 18 months before they're ready to have serious conversations. That gives them time to fix issues, strengthen operations, and approach buyers from a position of strength rather than urgency.

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3. When to start preparing



If you've decided the time is right or could be right in the next few years, the question becomes: when do you actually start getting ready?

If you think you might sell in the next few years, you are not too early to start organizing.

18 to 24 months out

Focus on getting your financial house in order and documenting processes. This is when you fix the things that would become problems in diligence.

Clean up your books. Get your add-backs documented (more on this below). Start writing down how the business actually runs. If your financials only exist on tax returns, consider having a CPA prepare reviewed or compiled statements. More sophisticated financial reporting increases credibility and valuation.

Build management depth. If you're the only person who can talk intelligently about the business, start delegating and developing your team. Buyers pay more for businesses that don't depend entirely on the founder/ owner.

6 to 12 months out

Assemble your buyer-ready package. You want financials, customer lists, operational documentation, and legal records organized and ready to share when someone asks.



The faster you can move once a buyer shows interest, the more seriously they take you.

This is when you address any outstanding issues: pending litigation, compliance gaps, messy corporate records, unclear intellectual property ownership. Fixing these problems before diligence begins prevents surprises and maintains momentum.

Within 6 months

You are going to feel some time pressure. That is not necessarily bad, but it does mean you will have less room to optimize. If you need to move quickly, just know that urgency typically costs you something in valuation or deal terms.

Bottom line: If you think you might sell in the next 2 to 3 years, start organizing now. The preparation timeline above gives you the roadmap.

4. Understanding how your business will be valued

Before you start organizing documents or talking to buyers, you need realistic expectations about value. Nothing kills momentum faster than a seller who thinks their business is worth 10x when the market says 4x.



Here's how buyers actually think about valuation.

Buyers typically value businesses as a multiple of EBITDA (Earnings Before Interest, Taxes, Depreciation, and Amortization). EBITDA is a measure of your operating profitability, essentially, how much cash your business generates from operations before financing costs and accounting adjustments.

For example: If your business generates \$2M in EBITDA and comparable companies in your industry are selling for 5 to 6x EBITDA, you might expect offers in the \$10 to 12M range, subject to due diligence findings and deal structure.

What affects your multiple

Not all EBITDA is equal. Factors that influence your multiple include:

- **Business size:** Larger businesses command higher multiples. A \$1M EBITDA business might trade at 3 to 4x, while a \$5M EBITDA business might trade at 5 to 7x in the same industry.
-
- **Growth trajectory:** Buyers pay more for momentum. If your EBITDA has grown from \$1M to \$2M over three years, you'll command a higher multiple than a flat or declining business.
-
- **Revenue quality:** Recurring revenue, long-term contracts, and subscription models command premium multiples. Project-based or transactional revenue is less predictable.



-
- **Customer concentration:** If your top customer represents 40% of revenue, expect a lower multiple. Diversified customer bases reduce risk and increase value.
-
- **Owner dependency:** If the business relies primarily on you as the owner to operate, expect a lower multiple or an earnout structure. If it can run without you, buyers pay more upfront.
-
- **Market position:** Clear competitive advantages, proprietary processes, intellectual property, and barriers to entry all support higher multiples.
-
- **Industry fundamentals:** Some industries naturally command higher multiples due to growth prospects, consolidation activity, or investor appetite.

Normalized EBITDA vs. reported EBITDA

Your tax returns show the lowest legal profit to minimize taxes. That makes sense for tax purposes, but it's not what your business is actually worth to a buyer.

Buyers care about normalized EBITDA (also called adjusted EBITDA). This is what the business actually generates in cash flow when run by a professional operator who isn't trying to minimize taxes. Normalized EBITDA comes from **add-backs**.

What are add-backs?



Add-backs are expenses that show up on your financial statements but that a new owner wouldn't incur. You add them back to your reported profit to show the true earning power of the business.

Common add-backs include:

- **Owner's above-market salary:** If you pay yourself \$500K but a professional CEO would cost \$200K, that's a \$300K add-back. The buyer won't pay you \$500K, so that extra \$300K flows to EBITDA.
- **Personal expenses run through the business:** Your car lease, personal travel, family cell phone plans, country club membership. These are real expenses on your P&L, but a buyer won't incur them.
-
- **One-time or unusual costs:** Legal settlements, moving expenses, unusual equipment repairs, costs related to a facility closure. These aren't part of normal operations, so they get added back.
-
- **Non-working family members on payroll:** If your spouse or kids are on payroll but don't actually work in the business, that compensation gets added back.
-
- **Discretionary spending a buyer wouldn't incur:** Charitable donations, sponsorships, above-market rent if you own the building and rent it to yourself.

Example:



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Reported EBITDA (from tax returns):	\$1,500,000
Owner excess compensation:	+ \$300,000
Personal expenses:	+ \$75,000
One-time legal settlement:	+ \$50,000
Non-working family member salary:	+ \$80,000
Normalized EBITDA:	\$2,005,000

If buyers value your business at 5x EBITDA, the difference between \$1.5M and \$2M in EBITDA is \$2.5M in enterprise value. Add-backs matter.

The credibility test

Every add-back needs documentation and a clear rationale. Buyers will scrutinize these closely during due diligence.

If you claim \$200K in add-backs but can't explain or document them, buyers will assume you're inflating EBITDA and either discount your valuation or walk away entirely.

Aggressive or unsupported add-backs destroy credibility. Be honest. Only add back expenses that are truly personal, one-time, or discretionary. If you're not sure whether something qualifies, ask your accountant or advisor. It's better to be conservative than to lose a deal over questionable adjustments.

Enterprise value vs. equity value



Enterprise value is the total value of the business operations. Equity value is what you actually receive.

If your business has \$1M in debt, and a buyer offers \$10M enterprise value, you receive \$9M at closing (minus any other adjustments). If you have \$500K in cash on the balance sheet, the calculation gets more complex. Most lower middle-market deals are structured on a debt-free, cash-free basis, meaning the business is sold without debt or excess cash, and the seller keeps or pays off those items separately.

Example:

Enterprise Value:		\$10,000,000
Less: Outstanding debt:	-	\$1,000,000
Plus: Cash on balance sheet:	+	\$500,000
Less: Working capital adjustment:	-	\$200,000
Equity Value (what you receive):		\$9,300,000

Working capital

Working capital is the operating cash your business needs to function day to day (think: inventory and receivables, minus payables).

Buyers expect normal working capital levels at closing. If you drain cash from the business right before closing, you'll owe the buyer a working capital adjustment. This



is a common source of post-closing disputes, so understand the target working capital level before signing an LOI.

Simple rule: The business should have roughly the same working capital at closing that it had on average over the past year."

Key takeaway for this section: Your business will be valued as a multiple of EBITDA. That multiple depends on size, growth, customer concentration, and how much the business depends on you. Understand normalized EBITDA and common add-backs before talking to buyers.

5. A quick readiness self-assessment

Now that you understand valuation mechanics and timing, you need an honest assessment of where you actually stand today.

You do not need perfection to sell, but you do need clarity. Buyers are underwriting risk. Your job is to remove as much uncertainty as possible.

Here is a fast self-check. If several of these are not true yet, spend time preparing before you start a process.

- Do you have clean financial statements for the last 3 years, plus trailing 12 months?



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- Can you explain margins, seasonality, and add-backs in a simple way, with backup?
- Can the business run day to day without you being the bottleneck?
- Is customer concentration manageable, or can you clearly explain why it is stable?
- Are your core processes repeatable, documented, and not trapped in one person's head?
- Are your licenses, insurance, and compliance records current and easy to produce?
- Are corporate records organized and is ownership clear?
- Do you have pending litigation or major disputes?
- Do you have recurring revenue, long-term contracts, or high customer retention?
- Are your financial systems sophisticated enough to produce detailed reports quickly?
- If applicable, have you had clean audits or reviews?



If you can check most of these boxes, you're in good shape and ready to understand what the actual process looks like. If not, you are better off spending a few months getting organized than trying to fix things mid-process under time pressure.

6. What the sale process usually looks like

Knowing you're ready is one thing. Understanding what you're about to walk into is another. Most owners are surprised by how structured & time-intensive the process is.

Here's what to expect from initial conversations through closing.

The fit check (1 to 2 weeks)

You and the buyer have initial conversations to confirm strategic alignment, ownership structure, and transaction appetite. This is where you are both deciding whether it is worth the time.

During these calls, you'll typically discuss high-level financials, growth trajectory, why you're considering a sale, and what kind of partner you're looking for. The buyer is assessing whether your business fits their investment thesis and whether you're serious and prepared.

Information sharing (2 to 4 weeks)



You share deeper information after confidentiality is in place. The buyer gets access to financials, customer data, and operations. Enough to build a model and assess risk. They are testing assumptions and surfacing questions.

You should have a Confidential Information Memorandum (CIM) or at least organized materials ready: detailed financials, customer lists, org charts, operational documentation, contracts, and anything else that tells the story of your business.

Letter of intent (1 to 2 weeks to negotiate)

Next comes an LOI (Letter of Intent) that outlines price, structure, timeline, and conditions. It is usually non-binding except for exclusivity and confidentiality provisions, but it sets the framework. Once signed, things get more serious.

Critical LOI terms to understand:

The LOI will include many terms, but these are the ones that matter most to your outcome:

Deal economics:

- **Purchase price and structure:** How much, in what form (cash, rollover equity, earnout), and what the total value assumes
- **Working capital target:** The expected level of working capital at closing. Vague language here creates post-closing disputes.



- **Earnout terms:** If applicable, how much is contingent on future performance, over what period, and how it's measured

Process and protection:

- **Exclusivity period:** Usually 60 to 90 days during which you cannot talk to other buyers. Make sure this timeline is realistic for completing due diligence. A buyer requesting 180-day exclusivity with no deposit might not be serious.
- **Conditions to closing:** What must be true for the buyer to complete the transaction (clean diligence, no material adverse changes, financing approval, etc.)
- **Key employee retention:** Whether certain team members must stay as a condition

The LOI is where you establish whether the deal structure actually works for you. Don't sign an LOI just because the headline number sounds good. Understand the details.

Due diligence (60 to 90 days)

After LOI, buyers send a request list and expect you to upload materials into a data room quickly. Diligence is document-heavy and time-sensitive. The smoother you are here, the more confidence you build.



What buyers look for in diligence:

1. **Financial due diligence:** Often includes a Quality of Earnings (QofE) report prepared by the buyer's accounting firm. Their goal is to validate your revenue and EBITDA, tests your add-backs, identify one-time items, and assess financial statement quality. Expect detailed questions about revenue recognition, customer contracts, and margin drivers.
- 2.
3. **Legal due diligence:** Review of contracts (customer agreements, supplier agreements, leases, employment agreements), corporate documents (articles of incorporation, bylaws, board minutes), intellectual property ownership, litigation history, and regulatory compliance.
- 4.
5. **Tax due diligence:** Review of tax returns, identification of potential tax liabilities, transfer tax implications, and structure optimization.
- 6.
7. **Commercial due diligence:** Customer reference calls, market validation, competitive landscape assessment, and growth opportunity validation. Some buyers conduct this themselves; others hire consultants.
- 8.
9. **IT and cybersecurity review:** Assessment of systems, data security, software licenses, and technology risks.
- 10.
11. **Environmental assessment:** If you own real estate or operate in certain industries, expect Phase I environmental site assessments.



12.

13. **HR and benefits review:** Employee agreements, benefit plans, potential liabilities, cultural fit assessment.

Due diligence is where deals often re-trade or fall apart. Issues discovered during diligence (undisclosed customer concentration, revenue quality concerns, compliance gaps) often lead to price reductions or earnout structures. The best defense is thorough preparation and no surprises.

Closing (2 to 4 weeks after diligence completion)

You negotiate and finalize definitive agreements. Legal teams finalize the Purchase Agreement (the binding contract governing the sale), transition services, employment terms, and ancillary documents. Funds transfer. The business changes hands.

Key closing documents include:

1. **Stock or Asset Purchase Agreement:** The main contract detailing price, structure, reps and warranties, indemnification, and conditions
- 2.
3. **Disclosure schedules:** Detailed disclosures about the business that qualify your representations
- 4.
5. **Employment or consulting agreement:** If you're staying on, this governs your role, compensation, and duration
- 6.



7. **Transition services agreement:** Defines how you'll help during handoff and for how long
- 8.
9. **Escrow agreement:** Governs the holdback (typically 10 to 15% of proceeds held for 12 to 24 months to cover potential claims)
- 10.
11. **Non-compete and non-solicit agreements:** Restrictions on your ability to compete or hire away employees after closing

The whole process typically takes 90 to 180 days from LOI to close, depending on complexity and how prepared you are.

Understanding this timeline is important, but knowing what happens during the process is different from knowing what actually drives your outcome. That comes down to what buyers value.

Bottom line: Expect 90 to 180 days from LOI to closing. The better prepared you are, the faster and smoother diligence goes. Organization signals competence and builds buyer confidence.

7. What increases value in a buyer's eyes



Understanding the process is important, but understanding what buyers actually value determines your outcome. Price isn't arbitrary. It's a function of how much risk the buyer perceives and how confident they are in future cash flows.

Multiples are not just about revenue or EBITDA. They are about durability and risk.

- **A management team that can operate without the owner.** If the business does not fall apart when you are on vacation, that is a green flag. If you're the only person who can have a meaningful customer conversation or make key decisions, that's a problem.
-
- **Stable margins with clear drivers.** Buyers want to understand what drives profitability and feel confident it is repeatable. If margins fluctuate wildly or you can't explain why they are what they are, buyers discount the value.
-
- **Diversified customers and strong retention.** A handful of customers representing 60 percent of revenue is a risk. Lots of smaller relationships with high retention is valuable. Recurring revenue, subscription models, and multi-year contracts all command premium valuations.
-
- **Documented systems across sales, operations, and hiring.** If the way you do things is only in your head, that is a problem. If it is written down and trainable, that is an asset. Buyers need to see playbooks, SOPs, and systems that make the business transferable.
-
- **Clean reporting that matches reality and can be defended in diligence.** If your tax returns do not reconcile to your management financials, you will



spend the whole process explaining adjustments. If you can't explain revenue recognition, seasonality, or margin swings clearly, buyers lose confidence.

-
- **Growth without proportional cost increases.** Scalability is valuable. If you've grown revenue 50% while headcount only grew 20%, that demonstrates operating leverage. If revenue and costs grow in lockstep, the business is less attractive.
-
- **Competitive advantages and barriers to entry.** Proprietary technology, exclusive supplier relationships, regulatory licenses, brand strength, anything that makes it hard for competitors to replicate what you do increases value.
-
- **Strong market position.** Being the recognized leader or a top-three player in a niche market matters. Buyers pay more for businesses that dominate a segment than those fighting for share in a crowded market.

The more of these you have in place, the more competitive tension you create and the better your outcome.

8. What buyers look for (and what concerns them)

Knowing what drives value in general terms helps, but it's even more useful to know specifically what makes buyers confident versus what raises red flags during their evaluation.



Understanding the buyer's perspective helps you prepare effectively and avoid surprises during diligence.

Green flags that build confidence

- **Years of operating history:** A business that's been around 10+ years has survived cycles and proven durability.
-
- **Experienced founder and management team:** Depth of expertise and a track record of navigating challenges.
-
- **Long-term client relationships:** If your average customer tenure is 5 to 10 years, that's powerful validation.
-
- **Blue-chip client roster:** Serving Fortune 500 companies or other well-known brands signals quality and reduces buyer risk.
-
- **Strong margins and cash flow:** Healthy margins (typically 15%+ EBITDA margins for most industries) indicate pricing power and operational efficiency.
-
- **Recurring or contracted revenue:** Predictable revenue is worth more than transactional revenue.
-
- **Asset-light model:** Businesses that don't require significant capital investment to maintain or grow are more attractive.



-
- **No debt:** A clean balance sheet simplifies the transaction and indicates financial discipline.
-
- **Proprietary processes or technology:** Anything that creates a moat around your business.
-
- **Industry certifications or credentials:** ISO certifications, regulatory approvals, or professional accreditations that are difficult to obtain.
-
- **Strong retention metrics:** High customer retention (90%+ annually) and low employee turnover.

Why this matters: Each green flag reduces perceived risk, which translates directly to higher multiples and better terms. If you have 7 or 8 of these, you'll create competitive tension among buyers, which gives you more options and justifies higher valuations.

Red flags that raise concerns

- **Heavy owner dependency:** If you're involved in every decision, customer relationship, or operation, the business is essentially a job, not a transferable asset.
-
- **Customer concentration:** Any single customer over 20% of revenue is a significant risk. Over 30% is a major problem.



-
- **Revenue or margin volatility:** If results swing wildly year to year without clear explanation, buyers struggle to underwrite future performance.
-
- **Key employee flight risk:** If losing one or two people would cripple operations, buyers worry about retention through the transition.
-
- **Weak financial systems and controls:** If you can't produce a detailed P&L by customer, product line, or location within a week, or if your accounting is months behind, buyers question operational sophistication.
-
- **Pending litigation or regulatory issues:** Unresolved legal disputes or compliance problems can kill deals or result in significant escrows.
-
- **Declining or flat growth:** Businesses that aren't growing are harder to sell and command lower multiples.
-
- **Aging customer base or technology:** If your clients are aging out or your systems are outdated, buyers see risk and cost.
-
- **No systems or documentation:** If everything is tribal knowledge, the business isn't transferable without extensive (and risky) transition time.

Now that you know what buyers value and what concerns them, let's talk about protecting your information while you share it.



9. Protecting your information: Confidentiality & NDAs

You now understand what buyers value and what concerns them. But before you can have substantive conversations, you need to solve a critical problem: how do you share sensitive information without losing control of it?

One of the biggest fears business owners have when considering a sale is losing control of sensitive information. What happens if you share financials, customer lists, and operational details with a potential buyer and the deal doesn't happen?

Why confidentiality matters

Your business information is valuable. If competitors learned about your customer relationships, pricing, or margins, it could harm your competitive position. If employees heard you were considering a sale before a deal was certain, it could create anxiety and turnover. If customers learned you were in discussions, they might pause purchasing decisions.

You need to share detailed information for buyers to make informed offers, but you also need assurance that information won't be misused.

What an NDA does



A Non-Disclosure Agreement is a legal contract that protects your confidential information. Before you share any identifying details about your business, serious buyers will sign an NDA.

A good NDA includes:

- **Definition of confidential information:** Financial statements, customer data, employee information, trade secrets, proprietary processes, and any other non-public information.
- **Use restrictions:** The buyer can only use the information to evaluate a potential transaction. They cannot use your information to compete, solicit your customers or employees, or share it with third parties.
- **Return or destruction obligation:** If the deal doesn't proceed, the buyer must return or destroy all confidential information.
- **Term:** How long confidentiality obligations last, typically 2 to 5 years.
- **Remedies:** Your right to seek injunctive relief and damages if the buyer breaches.

When the NDA gets signed

The typical sequence is:



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1. **Initial contact:** High-level conversations only. No identifying information shared.
2. **Expression of interest:** Once a buyer expresses serious interest, they sign an NDA before receiving detailed or identifying information.
3. **Detailed information sharing:** After the NDA is signed, you share your Confidential Information Memorandum, financials, customer lists, and other materials.

Why this sequence matters: It protects you while allowing serious buyers to evaluate fit. You never risk exposing sensitive information to tire-kickers or competitors.

Never share customer names, detailed financials, or anything that could identify your business until an NDA is signed.

How SilverShore protects confidentiality

We build multiple layers of protection:

Stage 1: Anonymous teaser: We create a non-identifying description (industry, size range, geography, general characteristics) without revealing your name or location.

Stage 2: NDA requirement: Only buyers who express serious interest and pass our screening receive an NDA.



Stage 3: Full disclosure: Only after the NDA is executed do we share your company name and detailed information.

Stage 4: Controlled access: We coordinate information sharing, ensuring you control who sees what and when.

This staged approach protects your identity and sensitive information until you have legal assurance of confidentiality.

What to look for in an NDA

When reviewing an NDA, make sure:

- The definition of confidential information is broad, covering everything you plan to share, not just documents labeled "confidential."
- Use is limited to transaction evaluation, not competitive analysis, recruiting, or any other purpose.
-
- There are real consequences for breach, including injunctive relief and damages.
-
- The term is adequate, at least 2 years, ideally 3 to 5 years for trade secrets.
-
- Standstill provisions are included, preventing the buyer from soliciting your employees or customers during negotiations.



Red flags to watch for

Be cautious if a buyer:

- **Resists signing an NDA:** Serious buyers understand confidentiality is non-negotiable.
-
- **Asks for information before signing:** No detailed information goes out before an NDA.
-
- **Wants a one-sided NDA:** The agreement should be reasonable and balanced. If it heavily favors the buyer, push back.
-
- **Wants to "just meet the team" without an NDA:** This risks exposing your intentions before a deal is certain.

Moving forward with confidence

The NDA is what allows you to move from general conversations to substantive discussions. Once signed, you can share detailed financials, customer information, operational details, and discuss challenges candidly without worrying your openness will be used against you.

A well-structured NDA creates a safe space for honest dialogue. When you work with experienced advisors like SilverShore, we ensure confidentiality is protected at every



stage. You should never feel pressured to share sensitive information before proper protections are in place.

Confidentiality protections give you the freedom to be transparent. Now you need to be ready with the actual information buyers will request.

10. What to prepare for buyers

With confidentiality protections in place, you can move to substantive conversations. But buyers expect you to be organized. The quality and speed of your information sharing directly impacts their confidence in you and the business.

Think of this as your buyer-ready package. You are building trust. You are also making it easier for a buyer to say yes.

Financial and performance

1. 3 years of financial statements (audited or reviewed if available) and tax returns. If you only have tax returns, that's common for businesses your size, but more sophisticated financials command higher valuations and move faster through diligence.
- 2.
3. Trailing 12 month income statement and balance sheet, ideally through the most recent month-end.



- 4.
5. Monthly revenue and margin trends for at least the past two years, so buyers can see seasonality and trajectory.
- 6.
7. Add-back schedule with supporting documentation showing personal expenses, one-time costs, and non-recurring items. Every add-back should have a clear rationale and backup.
- 8.
9. Revenue and EBITDA bridge showing how you grew (or declined) year over year and what drove the changes.

Commercial

1. Top customers list with revenue by customer for the past two years. Buyers need to see concentration, retention, and trends.
- 2.
3. Customer contracts and renewal terms if applicable. If you don't have written contracts, explain the relationship stability and sales process.
- 4.
5. Key suppliers and any major supplier agreements. Buyers want to understand dependency and switching costs.
- 6.
7. Pipeline and backlog snapshot, plus how deals are typically won. Help buyers understand revenue visibility.
- 8.
9. Pricing and margin by product or service line if you have multiple offerings.



Operations

1. Process documentation for delivery and quality control. How do you fulfill customer orders? What are your quality standards? Who does what?
- 2.
3. Facilities information, equipment list, and maintenance history. If you own real estate or significant equipment, provide details and condition assessments.
- 4.
5. Major software systems and who controls access. List your tech stack, licenses, and who has admin rights.
- 6.
7. Insurance policies and claims history. Buyers want to see adequate coverage and whether you've had significant losses.
- 8.
9. Supply chain details if you manufacture or distribute physical products.

People

1. Org chart and key roles. Show reporting structure and identify the critical people.
- 2.
3. Compensation and incentive summary for all employees, especially leadership.
- 4.
5. Key employment agreements and policies. Provide any written employment contracts, non-competes, stock option plans, or bonus structures.



- 6.
7. Employee tenure and turnover data. Low turnover is a positive signal.

Legal and corporate

1. Entity documents and ownership records. Articles of incorporation, operating agreement or bylaws, cap table showing who owns what.
- 2.
3. Licenses and permits. Provide copies of all business licenses, professional certifications, regulatory approvals, and proof they're current.
- 4.
5. Material agreements like leases, financing agreements, partnership agreements, and any other contracts that affect business operations.
- 6.
7. Intellectual property documentation. Trademark registrations, patent filings, copyright documentation, and any IP assignment agreements. If you don't have formal IP, at least document what you believe is proprietary.
- 8.
9. Any known disputes, claims, or issues, with context. If you have a customer dispute, pending litigation, or regulatory inquiry, disclose it early with an explanation. Buyers can handle known risks better than surprises.

The cleaner this package is, the faster diligence goes. Buyers interpret organization as operational competence.



Remember: Buyers judge your operational sophistication by how quickly and completely you can produce information.

Organized materials = faster process = better outcome.

Having your information organized puts you in a strong position to negotiate. But preparation alone won't determine your outcome, understanding deal structure will.

Let's talk about the mechanics of how deals are actually structured and what different terms mean for what you ultimately receive.

11. Deal structure basics you should understand early

Having your information organized is critical, but it's equally important to understand the mechanics of how deals actually work. Many owners focus exclusively on headline price and miss the structure details that determine what they actually keep.

Think of it this way: A \$10M all-cash offer might be better than a \$12M offer with \$4M in earnouts. Understanding structure helps you compare offers fairly and know what you're actually agreeing to.

Asset sale vs. stock sale



In an asset sale, the buyer picks what they want (usually assets, contracts, and intellectual property) and leaves behind liabilities like old lawsuits or tax disputes. This is the buyer's preferred structure because it's cleaner and often provides better tax treatment for them.

In a stock sale, they buy the whole entity and inherit all liabilities, known and unknown. Sellers often prefer this because it's simpler and may offer better tax treatment (capital gains on the full proceeds rather than ordinary income on certain assets).

For lower middle-market deals, asset sales are more common. Expect to pay more attention to which liabilities transfer and which don't.

Cash vs. seller financing vs. earnouts

- **All-cash deals** are clean but often come at a lower valuation. The buyer takes all the risk of future performance, so they're conservative in pricing.
-
- **Seller financing**, where you hold a note for part of the purchase price, can close valuation gaps and signal your confidence in the business. You become a lender to the buyer, typically for 10 to 30% of the purchase price over 3 to 5 years. This keeps you invested in the business's success but in a less active way than an earnout.
-



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- **Earnouts** tie part of the price to future performance, hitting revenue, EBITDA, or other milestones over 1 to 3 years. They're great in theory but create friction in practice. You'll need to continue working in the business (often without full control) and hope the new owner's decisions support earnout achievement.
- - **Example:** You agree to a \$10M deal with \$7M cash at closing and a \$3M earnout if EBITDA hits \$2.5M in year one. Sounds good. But then the new owner decides to invest heavily in growth, spending on marketing and new hires that reduce year-one EBITDA to \$2M. You miss your earnout despite the business growing. This is why many sellers regret earnouts.

Examples of Common Deal Structures:

Option A: All-Cash Deal

Cash at closing:	\$10,000,000
Escrow (released in 18 months):	- \$1,500,000
Net proceeds at closing:	\$8,500,000

Option B: Seller Financing

Cash at closing:	\$8,000,000
Escrow (released in 18 months):	- \$1,200,000
Seller note (5 years, 6% interest):	+ \$3,000,000
Interest earned over life of note:	+ \$465,000



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Total value:	\$11,465,000
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Net proceeds at closing:	\$6,800,000
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Note payments: ~\$58K/month for 60 months	
---	--

Option C: Earnout-Heavy Deal

Cash at closing:	\$7,000,000
------------------	-------------

Escrow (released in 18 months):	- \$1,050,000
---------------------------------	---------------

Earnout (if targets hit over 3 years):	+ \$5,000,000
--	---------------

Potential total:	\$12,000,000
------------------	--------------

Net proceeds at closing:	\$5,950,000
--------------------------	-------------

- **Important note on earnouts:** While they can bridge valuation gaps, earnouts create ongoing obligations and uncertainty. You'll be working under new ownership, watching them make decisions that affect your earnout, and potentially disagreeing about how performance is measured. Many sellers find the stress isn't worth the potential upside. If possible, negotiate a lower all-cash price rather than a higher price with significant earnout.

Common earnout disputes include:

- Disagreements over how EBITDA is calculated



- Buyer decisions that prioritize long-term growth over short-term earnout metrics
- Lack of transparency in financial reporting during earnout period
- Disputes over whether the seller is meeting their obligations

If you do accept an earnout, ensure the measurement is simple and objective, you have information rights to track performance, and the earnout period is as short as possible.

Rollover equity

This shows up in many private equity deals where the seller rolls 10 to 30% of proceeds into the new entity. This aligns incentives and lets you participate in a future exit, but it also means you are taking on risk and staying involved longer than a full cash-out.

Rollover can be advantageous if you believe in the buyer's growth plan and want a second bite at the apple. Private equity firms often target a 3 to 5 year hold period and a 2 to 3x return, so your rollover equity could be worth significantly more at the next exit.

Example: Rollover Equity Upside

Initial sale (you sell 70%) :

- Cash at closing:

\$7,000,000



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- Rollover equity (30%): \$3,000,000

5 years later, PE firm exits at 3x:

- Your 30% stake is now worth: \$9,000,000

- Total proceeds from both transactions: \$16,000,000

Compare to: 100% cash sale at \$10M upfront

However, rollover means you're now a minority investor with no control, your equity is illiquid until the next transaction, and the value is subject to the new owner's decisions and market conditions.

Employment and transition

Expect a transition services agreement or employment agreement for 6 to 12 months where you stay on to help with handoff. The terms around scope, compensation, and duration matter a lot if you are planning to step away.

Typical arrangements include:

- **Consulting agreement:** Part-time availability for questions and introductions, often 10 to 20 hours per month
- **Employment agreement:** Full-time role as CEO, President, or advisor, with defined responsibilities and compensation



- **Earnout-tied employment:** Your earnout may require you to remain actively employed, creating tension if you want to transition out

Make sure the role, time commitment, decision-making authority, and compensation are clearly defined. Vague language here leads to frustration post-closing.

These terms are typically outlined in the LOI and finalized during definitive agreements. Don't wait until the week before closing to negotiate your transition role, address it upfront when the LOI is being drafted.

Representations and warranties

When you sell a business, you make a series of legal promises about its condition called representations and warranties (reps and warranties). Think of these as your sworn statement about what you're selling.

Why this matters: If these promises turn out to be false, even unintentionally, you're personally liable. If you say "there's no pending litigation" and a lawsuit emerges that you forgot about, you could owe the buyer money from your escrow or even beyond it.

When you sell a business, you make a series of representations and warranties (reps and warranties), legal promises about the condition of the business.

Common reps include:



- Financial statements fairly present the business
- No undisclosed liabilities
- All contracts are valid and enforceable
- No pending or threatened litigation beyond what's disclosed
- Compliance with all laws and regulations
- Intellectual property is owned or properly licensed
- No material adverse changes since a specified date

If these promises turn out to be false, you're liable for indemnification, reimbursing the buyer for losses resulting from the breach.

Escrow and indemnification

Buyers typically hold back 10 to 15% of the purchase price in escrow for 12 to 24 months to cover potential indemnification claims. If no claims are made, you receive the escrow at the end of the period.

Your indemnification obligations usually include:



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- **Survival period:** How long the buyer can bring claims (typically 12 to 24 months for general reps, longer for tax and fundamental reps)
- **Baskets and caps:** A minimum threshold before claims can be made (basket, often \$25K to \$100K) and a maximum you can owe (cap, often the escrow amount or 10 to 20% of purchase price)
- **Scope:** What you're responsible for (usually breaches of reps and warranties, but sometimes broader)

Example: How Indemnification Works

Purchase price:	\$10,000,000
Escrow (15%, held for 18 months):	- \$1,500,000
Net proceeds at closing:	\$8,500,000

Indemnification terms:

- Basket (minimum before claims):	\$50,000
- Cap (maximum you can owe):	\$1,500,000

Scenario: Buyer discovers \$200K liability

- Exceeds basket threshold: ✓	
- Paid from escrow: \$200,000	
- Remaining escrow (if no other claims):	\$1,300,000



Understanding these terms before signing an LOI is critical. Your attorney will negotiate these, but you should know the rough framework.

Tax considerations

Both buyers and sellers must file IRS Form 8594 for asset acquisitions, reporting how the purchase price is allocated among asset classes. This affects tax outcomes for both sides. Buyers want to allocate more to depreciable assets, sellers often prefer capital gains treatment.

Work with a tax advisor early to understand the tax implications of different structures. The after-tax proceeds are what actually matter to you.

Nothing in this guide is tax or legal advice. Deal timelines and outcomes vary by business, buyer, and structure. Consult qualified professionals for advice specific to your situation.

12. Understanding your options

Before you commit to any particular path, it's worth stepping back to consider the full range of options available to you. Selling to a private equity firm or strategic acquirer is one path, but it's not the only one.



Not every business is right for every type of buyer, and not every owner wants the same outcome.

Types of buyers

- **Private equity firms:** Financial buyers who acquire businesses to professionalize operations, add to a platform, or pursue a buy-and-build strategy. They typically hold for 3 to 7 years and aim for 2 to 3x returns. They have capital ready and move quickly but are financially motivated and less emotionally attached to your legacy.
-
- **Strategic buyers:** Companies in your industry or adjacent markets buying for competitive, capability, or customer reasons. They often pay more because they can realize synergies (combining operations, cross-selling, eliminating redundancies). However, they may also change the business more dramatically, including layoffs or rebranding.
-
- **Individual buyers or search funders:** People who've raised capital or saved earnings to buy one business to run long-term. They're often owner-operators who care deeply about the business and culture. They may pay less than PE or strategics but often preserve legacy better.
-
- **Family offices:** High-net-worth families investing for long-term wealth preservation. They can be patient capital with less pressure for quick exits, but they're often more selective and move more slowly.



Other paths

- **Selling to employees (ESOP):** An Employee Stock Ownership Plan can be a tax-efficient way to transition ownership to employees. It preserves culture and legacy but is complex, expensive to set up, and requires the business to generate enough cash flow to buy you out over time.
-
- **Family succession:** Passing the business to children or other family members. Emotionally rewarding but often financially and operationally complicated. Many family transitions fail due to lack of preparation or next-generation readiness.
-
- **Doing nothing:** This is sometimes the best option if you're profitable, enjoy the work, and aren't ready to transition. Just recognize that businesses don't run themselves forever, and waiting too long can erode value.

Whichever path you choose, you may face emotional challenges...

Let's talk about those now.

13. The emotional journey

All of the preparation, structure knowledge, and process understanding in the world won't fully prepare you for the emotional reality of selling something you built.



This is normal and expected. You've spent years, maybe decades, building this business. It's been your identity, your purpose, your legacy. Selling it, even for great money, brings up complex emotions. You're not being irrational if you feel conflicted. You're being human.

Here's what most owners experience:.

1. **The psychological difficulty of letting go.** This business is your identity, your life's work, your legacy. Stepping away, even for great financial reward, can feel like losing part of yourself. It's normal to feel grief, anxiety, and ambivalence throughout the process.
- 2.
3. **Dealing with buyer criticism.** During diligence, buyers will scrutinize every aspect of your business and point out weaknesses, risks, and improvement opportunities. This can feel like personal attacks on "your baby." Remember: they're underwriting risk, not criticizing you. Staying objective is hard but necessary.
- 4.
5. **Managing anxiety during diligence.** The 60 to 90 days of due diligence can be grueling. You're running the business, responding to endless document requests, answering detailed questions, and worrying about whether the deal will close. Expect stress. Line up support, a good attorney, accountant, and spouse or friend who can listen.
- 6.
7. **Post-closing seller's remorse.** Even after a successful sale, many sellers feel a sense of loss. The money is in the bank, but now what? If you've been a



business owner for 20 years, transitioning to retirement or a new venture can be disorienting. Think ahead about what you'll do after closing.

8.

9. **Defining your post-sale purpose.** The most successful transitions happen when owners have a clear vision for what comes next, whether that's starting a new venture, traveling, philanthropy, or something else. Don't wait until after closing to figure this out.

Understanding the emotional journey helps you prepare mentally. But you also need to watch for specific tactical mistakes that can derail an otherwise solid process.

14. Common mistakes that cost owners time & money

Even well-prepared owners make mistakes that cost them. Some are process mistakes. Others are psychological. Many are avoidable if you know what to watch for.

Here are the patterns that consistently hurt outcomes:

1. **Starting a process before financials and records are organized.** If a buyer asks for your P&L and it takes you three weeks to produce it, you have already lost credibility. Worse, you'll scramble through diligence, creating gaps and raising red flags.

2.



3. **Letting performance slip while the deal is running.** Buyers watch trailing metrics closely. If revenue drops or a key customer leaves during diligence, your valuation drops or the deal dies. You must keep running the business hard while managing the sale process.
- 4.
5. **Surprises during diligence.** Especially around customer concentration, add-backs, legal issues, or undisclosed liabilities. If something is going to be a problem, surface it early with context. Buyers can handle risk if they know about it and can price it in. They cannot handle feeling misled. Surprises kill trust and deals.
- 6.
7. **Sharing too much too early.** Do not send your full customer list, detailed financials, or proprietary information to someone before they have signed an NDA and demonstrated serious intent. Protect your information until you know the buyer is real and qualified.
- 8.
9. **Waiting until LOI to clean up legal and corporate documents.** If your operating agreement is a mess, you don't have clear title to key IP, or there are ownership disputes, fix it before you go to market. These issues will come up and they kill momentum.
- 10.
11. **Not understanding your walk-away number before starting.** Know the minimum price and terms you'd accept before you get emotionally invested in a deal. Once you're deep into diligence, it's hard to walk away from a mediocre offer.
- 12.



13. **Failing to keep the process confidential.** Telling employees, customers, or vendors too early creates risk. Rumors spread, key people get nervous and leave, customers pause buying decisions. Confidentiality is critical until the deal is certain.
- 14.
15. **Over-optimizing earnout scenarios.** It's tempting to accept a high-headline number with a big earnout, but remember: a bird in hand is worth two in the bush. Most earnouts disappoint. Prioritize cash at closing.
- 16.
17. **Not having management capable of handling due diligence calls while you run the business.** If you're the only person who can answer diligence questions, you'll spend 40+ hours per week on the deal while trying to run a business. Build a team that can support the process.
- 18.
19. **Accepting an LOI with unreasonable conditions.** Very long exclusivity (180+ days), extensive earnouts with vague measurement, or unclear working capital language can trap you in a bad deal. Negotiate the LOI carefully, it sets the tone for everything that follows.

The best way to avoid these is to run a tight ship, prepare thoroughly, and get good advisors before you start conversations.

15. Red flags in buyer behavior



Just as buyers watch for red flags in your business, you should watch for red flags in buyer behavior. Not all buyers are serious or professional. Some will waste your time. Others will negotiate in bad faith.

Here's what to watch for:

1. **Endless due diligence requests without progress.** If the buyer keeps asking for more information but never moves toward definitive agreements, they may be fishing for information or not actually ready to close.
- 2.
3. **Repeated price renegotiation (re-trading).** Some buyers use diligence findings as excuses to chip away at price repeatedly. One round of negotiation based on material findings is normal. Multiple rounds signal bad faith.
- 4.
5. **Unwillingness to move forward on definitive agreements after LOI.** If the buyer signed an LOI but drags their feet on legal documentation, they may be waiting for a better deal elsewhere or having second thoughts.
- 6.
7. **Poor communication or missed commitments.** If they say they'll provide feedback by Friday and you don't hear from them for two weeks, that's a red flag. Serious buyers respect your time and maintain momentum.
- 8.
9. **Requests to "just meet the team" before signing an NDA.** Some buyers want to assess your people and operations before committing to confidentiality. This risks leaking your intentions and disrupting your team. Insist on an NDA before substantive conversations.
- 10.



11. **Pushing for unreasonable indemnification terms.** All buyers will want reps, warranties, and escrows, but be wary of buyers demanding joint and several liability with your spouse, unlimited indemnification periods, or trying to make you liable for unknown liabilities beyond the escrow.

If you see these behaviors, don't be afraid to walk away. Your time and business confidentiality are valuable. A bad buyer can waste months and damage your business in the process.

16. How SilverShore helps owners find the right buyer

You now understand the process, the preparation required, what buyers look for, and how to avoid common mistakes. If you're ready to explore conversations, here's how we help.

SilverShore is built for owners who want a private, controlled path to find the right buyer. Our goal is to create high-quality conversations with the right-fit buyers, at the right time, with the right level of preparation.

We work with a network of institutional investors across the U.S. lower middle market. Private equity firms, independent sponsors, family offices, and strategic acquirers who are actively looking for businesses to acquire.



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Here is how our process works

Step 1: Get clear on your criteria

We talk through what you are looking for. Size expectations, structure preferences, what you want post-transaction, and what matters most to you beyond price. We also go deep on your business so we understand what makes it valuable and what buyers would care about.

This conversation is confidential and comes with no obligation. We're assessing fit and helping you think through timing and readiness.

Step 2: Build a target list

We identify 20 to 250 firms that match your criteria. Industry focus, check size, geographic preferences, transaction history. We are looking for buyers who would see your business as a fit, not just anyone with capital.

Our network includes hundreds of active buyers across industries. We filter based on your specific business characteristics and preferences to create a tailored list.

Step 3: Create a no-name teaser

We prepare a teaser that describes your business without identifying you. Revenue range, margin profile, customer base, competitive advantages, growth opportunities, etc. Enough for a buyer to assess initial fit without exposing who you are.



This typically includes:

- Industry and niche description
- Geographic location (region, not specific city)
- Revenue and EBITDA ranges
- Business model overview
- Growth trajectory
- Key value drivers
- Investment highlights

Step 4: Reach out on your behalf

We contact our target list with that teaser. The ones who express interest and meet our screening criteria sign an NDA. Only then do we share your identity and detailed information.

We manage this process carefully to maintain confidentiality. No one learns your identity until they've demonstrated serious interest and committed to confidentiality.

Step 5: Facilitate introductions

Once a buyer has signed the NDA and reviewed your full information, we set up an introduction. You are only talking to people who have already been vetted for fit and serious intent.



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We coordinate the initial call, provide context to both sides, and help frame the conversation. But the relationship is directly between you and the buyer. We step back once the introduction is made.

Step 6: You control the process

From there, you decide which conversations to pursue. You negotiate directly. You choose your own advisors and run diligence on your terms.

We remain available to provide guidance, answer questions, and help navigate the process, but we don't insert ourselves between you and the buyer. You maintain control of your information, timing, and decisions.

Timeline expectations

- **Weeks 1 to 2:** Initial assessment, NDA execution, target list creation, no-name teaser creation, and initial outreach.
-
- **Weeks 3 to 4:** Data room creation, Introductions, and initial buyer conversations.
-
- **Weeks 5 to 8:** LOI negotiation, due diligence, and closing (if a fit is found).

The entire process from first conversation to closing typically takes 2 to 4 months, though timing varies based on buyer interest, your availability, and deal complexity.



What we charge

SilverShore does not charge sell-side fees. You pay nothing for introductions, conversations, or our time facilitating the process.

Our compensation comes from the buy-side as a success fee only if a transaction closes.

This aligns our incentives with yours. We only get paid if you get a deal you're happy with.

When this approach makes sense

If you are exploring options but want to keep things quiet, or if you have talked to brokers who felt too transactional, this is a different approach.

This process works best for owners who:

- Want to explore options without committing to a public sale process
- Value confidentiality and control throughout the process
- Are open to strategic or financial buyers but want to vet them carefully
- Have a business generating \$500K to \$25M in EBITDA



- Are realistic about timing (willing to take 4 to 6 months to find the right fit)
- Are prepared with organized financials and operational documentation

17. What happens next

You've read the guide. You understand the process, the preparation, and what to expect. The question now is: what do you actually do with this information?

If you are thinking about this seriously, here is a realistic timeline.

Today: Assess your readiness

Go back to [Section 5](#) and honestly answer the self-assessment questions. If you can check most boxes, you're ready for the next step. If not, make a list of what needs work and start there.

Download our Sale Preparation Checklist. It is a one-page document that walks through exactly what to organize and in what order. You can use it internally to get ready, or share it with your CFO or advisors to start the conversation.

Even if you're not ready to engage with buyers yet, the checklist will help you assess your readiness and prioritize preparation work.



In the next 30 days

If you want to talk through whether now is the right time, or just get a sense of what your business might look like to buyers, schedule a confidential assessment.

It is a 20 to 30 minute conversation. No pressure. No obligation. We will ask questions, give you honest feedback, and help you think through timing.

You'll walk away with a clearer sense of:

- Whether your business is ready for a process
- What areas need work before approaching buyers
- Realistic valuation expectations based on your size, industry, and growth
- What type of buyers would be most interested
- Whether now is a good time given market conditions

In the next 90 days

If you decide to move forward, we will start building your target list and preparing your teaser.



Most owners are surprised by how much clarity this process brings, even before talking to any buyers. Simply organizing your information and articulating your story helps you see your business through a buyer's eyes.

In the next 6 to 12 months

You will have conversations with vetted, interested buyers. You will get a real sense of market appetite and valuation. You will decide whether to move forward or wait. Either way, you will know more than you did before. You'll have real data on what buyers value, what concerns them, and what your business might be worth. That information is valuable whether you sell now or later.

Final thoughts

The owners who wait until they are forced to sell (health crisis, partner dispute, market shift, burnout) usually leave money on the table. They negotiate from weakness, rush the process, and make compromises they later regret.

The ones who start preparing early and explore conversations when they are ready tend to end up with better outcomes. They have time to fix issues, build optionality, and negotiate from strength.

You've spent years building something valuable. Taking a few months to prepare properly and find the right partner is worth it.

If you're ready to start exploring, we're here to help.



Glossary of Key Terms

Add-backs: Expenses that a new owner wouldn't incur, added back to EBITDA to show true cash flow potential. Examples include owner's above-market salary, personal expenses, and one-time costs.

Asset Sale: Transaction where buyer purchases specific assets and liabilities rather than buying the company entity itself. Buyer picks what to acquire.

Cap: Maximum amount you can owe under indemnification obligations, often limited to escrow amount or 10 to 20% of purchase price.

CIM (Confidential Information Memorandum): Detailed document describing the business, financials, operations, and opportunity, shared after NDA is signed.

Due Diligence: Comprehensive investigation of the business by the buyer before finalizing the transaction. Includes financial, legal, commercial, and operational review.

Earnout: Portion of purchase price paid contingently based on future performance milestones over 1 to 3 years.



EBITDA: Earnings Before Interest, Taxes, Depreciation, and Amortization. A measure of operating profitability used to value businesses.

Enterprise Value: Total value of the business operations before adjusting for debt, cash, or working capital.

Equity Value: What the seller actually receives after adjusting enterprise value for debt, cash, and working capital.

Escrow: Portion of purchase price (typically 10 to 15%) held back for 12 to 24 months to cover potential indemnification claims.

Indemnification: Your obligation to reimburse the buyer for losses resulting from breaches of representations and warranties.

LOI (Letter of Intent): Non-binding (except for exclusivity and confidentiality) document outlining proposed deal terms including price, structure, timeline, and conditions.

Multiple: Valuation metric expressed as a multiple of EBITDA (e.g., "5x EBITDA" means the business is valued at 5 times its annual EBITDA).

NDA (Non-Disclosure Agreement): Contract protecting confidential information before substantive business details are shared.

Normalized EBITDA: EBITDA adjusted for add-backs to reflect true operating cash flow under professional management.



Quality of Earnings (QofE): Report prepared by buyer's accountants to validate revenue and EBITDA quality and test add-backs.

Reps and Warranties (Representations and Warranties): Legal promises you make about the condition of the business in the purchase agreement.

Rollover Equity: Portion of proceeds (typically 10 to 30%) that seller reinvests into the new entity to participate in future growth.

Stock Sale: Transaction where buyer purchases all shares of the company, inheriting all assets and liabilities.

Working Capital: Current assets minus current liabilities; the operating cash needed to run the business day to day.

Working Capital Target: The agreed-upon level of working capital that should be in the business at closing. Deviations result in purchase price adjustments.

Download the checklist, then book a confidential assessment if you want an owner-level read on readiness and buyer fit.